Moody's

# Third Quarter 2012 Earnings Call

October 26, 2012

# Overview

**SALLI SCHWARTZ**
GLOBAL HEAD OF INVESTOR RELATIONS

# Disclaimer

Certain statements contained in this presentation are forward-looking statements and are based on future expectations, plans and prospects for Moody's business and operations that involve a number of risks and uncertainties. Moody's outlook for 2012 and other forward-looking statements in this release are made as of October 26, 2012, and the Company disclaims any duty to supplement, update or revise such statements on a going-forward basis, whether as a result of subsequent developments, changed expectations or otherwise. In connection with the "safe harbor" provisions of the Private Securities Litigation Reform Act of 1995, the Company is identifying certain factors that could cause actual results to differ, perhaps materially, from those indicated by these forward-looking statements. Those factors include, but are not limited to, the current world-wide credit market disruptions and economic slowdown, which is affecting and could continue to affect the volume of debt securities issued in domestic and/or global capital markets; other matters that could affect the volume of debt securities issued, including credit quality concerns, changes in interest rates and other volatility in the financial markets; the uncertain effectiveness and possible collateral consequences of U.S. and foreign government initiatives to respond to the economic slowdown; possible loss of market share through competition; introduction of competing products or technologies by other companies; pricing pressures from competitors and/or customers; the potential emergence of government-sponsored credit rating agencies; both proposed and recently adopted legislation and regulations in the U.S., EU, other foreign, state and local jurisdictions, including the Dodd-Frank Wall Street Reform and Consumer Protection Act; regulations relating to the oversight of credit rating agencies; provisions in the Dodd-Frank Act, and potential EU regulations, modifying the pleading and liability standards applicable to credit rating agencies in a manner adverse to rating agencies; possible judicial decisions in various jurisdictions regarding the status of and potential liabilities of credit rating agencies; the possible loss of key employees; the outcome of any review by controlling tax authorities of the Company's global tax planning initiatives; the outcome of those legacy tax and legal contingencies that relate to the Company, its predecessors and their affiliated companies for which Moody's has assumed portions of the financial responsibility; the outcome of other legal actions to which the Company, from time to time, may be named as a party; the ability of the Company to successfully integrate acquired businesses; a decline in the demand from financial institutions for credit risk management tools; and other risk factors as discussed in the Company's annual report on Form 10-K for the year ended December 31, 2011 and in other filings made by the Company from time to time with the Securities and Exchange Commission. This presentation includes certain non-GAAP financial measures as defined under SEC rules. As required by SEC rules, at the end of this slide presentation we have provided a reconciliation of those measures to the most directly comparable GAAP measures. A copy of this presentation, including the relevant reconciliation slides, is available on Moody's investor relations website http://ir.moodys.com.

# Agenda

**1. Third Quarter 2012 Results**
Raymond McDaniel, President and Chief Executive Officer

**2. Financial and Operating Highlights**
Linda Huber, Executive Vice President and Chief Financial Officer

**3. Regulatory Developments**
Raymond McDaniel, President and Chief Executive Officer

**4. 2012 Outlook**
Raymond McDaniel, President and Chief Executive Officer

**5. Q&A**
Raymond McDaniel, President and Chief Executive Officer
Linda Huber, Executive Vice President and Chief Financial Officer
Michel Madelain, President and Chief Operating Officer, Moody's Investors Service
Mark Almeida, President, Moody's Analytics

# 1. Third Quarter 2012 Results

**RAYMOND MCDANIEL**
PRESIDENT AND CHIEF EXECUTIVE OFFICER

# Third Quarter 2012 Results and Comparison to Third Quarter 2011

## Moody's Corporation

| | |
|---|---|
| » Revenue | ↑ 30% to $689 million |
| » Expenses | ↑ 25% to $419 million |
| » Operating Income | ↑ 38% to $270 million |
| » Adjusted Operating Income | ↑ 36% to $294 million |
| » Reported EPS | ↑ 42% to $0.81 |
| – Excluding legacy tax benefit | ↑ 32% to $0.75 |

# Year-to-Date 2012 Performance and Comparison to Year-to-Date 2011

## Moody's Corporation

- Revenue — ↑ 15% to $2.0 billion
  - MIS — ↑ 14% to $1.4 billion
  - MA — ↑ 19% to $609 million
- Expenses — ↑ 16% to $1.2 billion
- Operating Income — ↑ 14% to $817 million
- Reported EPS — ↑ 14% to $2.34

# 2. Financial and Operating Highlights

**LINDA HUBER**
EXECUTIVE VICE PRESIDENT AND CHIEF FINANCIAL OFFICER

# Third Quarter 2012 Results and Comparison to Third Quarter 2011

## Moody's Corporation Revenue

| | |
|---|---|
| » Total Global | ↑ 30% to $689 million |
| » U.S. | ↑ 37% to $375 million |
| » Non-U.S. | ↑ 22% to $313 million<br>• 45% of Total Global |
| » Recurring revenue | • $346 million<br>• 50% of Total Global |

# Third Quarter 2012 Results and Comparison to Third Quarter 2011

## MIS Revenue by Geography

- » Total MIS — ↑ 35% to $474 million
- » U.S. — ↑ 45% to $289 million
- » Non-U.S. — ↑ 21% to $184 million
  - 39% of Total MIS

# Third Quarter 2012 Results and Comparison to Third Quarter 2011

## MIS Revenue by Line of Business

- Corporate Finance: $221 million
  - Global ↑ 71%
  - U.S. ↑ 81%
  - Non-U.S. ↑ 53%

- Structured Finance: $93 million
  - Global ↑ 14%
  - U.S. ↑ 27%
  - Non-U.S. ⟷ flat

# Third Quarter 2012 Results and Comparison to Third Quarter 2011

## MIS Revenue by Line of Business

- Financial Institutions: $83 million
  - Global ↑ 15%
  - U.S. ↑ 22%
  - Non-U.S. ↑ 10%

- Public, Project & Infrastructure Finance: $77 million
  - Global ↑ 13%
  - U.S. ↑ 11%
  - Non-U.S. ↑ 16%

# Third Quarter 2012 Results and Comparison to Third Quarter 2011

## MA Revenue by Geography

- Total MA — ↑ 20% to $215 million
- U.S. — ↑ 14% to $86 million
- Non-U.S. — ↑ 23% to $129 million
  - 60% of Total MA

# Third Quarter 2012 Results and Comparison to Third Quarter 2011

## MA Revenue by Line of Business

| | |
|---|---|
| » Research, Data and Analytics | ↑ 7% to $124 million |
| » Enterprise Risk Solutions | ↑ 26% to $64 million |
| » Professional Services | ↑ 97% to $27 million |

# Third Quarter 2012 Results and Comparison to Third Quarter 2011

## Moody's Corporation

| | |
|---|---|
| » Total expenses | ↑ 25% to $419 million |
| » Operating margin | • 39.2%<br>– up from 36.9% in 3Q11 |
| » Effective tax rate | • 29.5%<br>– up from 28.5% in 3Q11 |

# Capital Allocation, Balance Sheet and Free Cash Flow

» During 3Q12, repurchased 0.6 million shares at a total cost of $25 million and issued 1.2 million shares under employee stock-based compensation plans

» Shares outstanding totaled 223 million at September 30, 2012
  – Flat to September 30, 2011

» $700 million of share repurchase authority remaining as of September 30, 2012

» Moody's expects full-year 2012 share repurchases of approximately $225 million, subject to available cash, market conditions, and other ongoing capital allocation decisions

» At September 30, 2012, Moody's had:
  – $1.7 billion of outstanding debt
  – $1.0 billion of additional debt capacity under credit facility
  – Cash and cash equivalents of $1.5 billion, approximately 52% of which were maintained outside the U.S.
  – $461 million of free cash flow, a decrease of $152 million from 3Q11

# 3. Regulatory Developments

**RAYMOND MCDANIEL**
PRESIDENT AND CHIEF EXECUTIVE OFFICER

# Regulatory Developments

United States: *(the following developments are related to the Dodd-Frank Act)*

- SEC's rule-making pursuant to Dodd-Frank is pending
- Timing is uncertain regarding final rules relevant to NRSROs, as well as the feasibility study on establishing an alternative system for allocating rating assignments for structured finance products
- Both banking and securities regulatory authorities continue to assess their use of ratings in regulation and are in the process of developing potential alternative measures as replacements

European Union:

- In November 2011, the European Commission released new regulatory reform proposals for the rating agency industry (CRA3)
- The European legislative process requires that the European Parliament and the Council of Finance Ministers of the individual EU Member States each produce its own version of the text, and then enter into discussions with the Commission
- In May and June 2012, the Council and the Parliament, respectively, finalized their positions on CRA3. The discussions amongst the three institutions are underway; however, currently we can't predict the timeline for the finalization of CRA3 with any degree of precision

# 4. 2012 Outlook

**RAYMOND MCDANIEL**
PRESIDENT AND CHIEF EXECUTIVE OFFICER

# MCO 2012 Full-Year Financial Outlook

| | |
|---|---|
| » EPS | • $2.95 - $3.05 |
| –Excluding legacy tax benefit | • $2.89 - $2.99 |
| » Revenue | ↑ mid-teens % range |
| » Expenses | ↑ mid-teens % range |
| » Operating Margin | • Approximately 40% |
| » Adjusted Operating Margin | • Approximately 40% |
| » Effective Tax Rate | • Approximately 32% |

Refer to “Moody’s Corporation Reports Results for Third Quarter 2012” press release for a full review of guidance

# MCO 2012 Full-Year Financial Outlook (continued)

| | |
|---|---|
| » Share Repurchase | • Approximately $225 million (subject to available cash, market conditions, and other ongoing capital allocation decisions) |
| » Capital Expenditures | • Approximately $40 million to $50 million |
| » Depreciation and Amortization | • Approximately $100 million |
| » MCO Incremental Compliance and Regulatory Expense | • Approximately $15 million |

Refer to "Moody's Corporation Reports Results for Third Quarter 2012" press release for a full review of guidance

# MIS 2012 Full-Year Revenue Outlook

| | |
|---|---|
| » Global | ↑ mid-teens % range |
| » U.S. | ↑ low-20s % range |
| » Non-U.S. | ↑ mid-single-digit % range |
| » Corporate Finance | ↑ mid-20s % range |
| » Structured Finance | ↑ mid-single-digit % range |
| » Financial Institutions | ↑ mid-single-digit % range |
| » Public, Project & Infrastructure | ↑ mid-teens % range |

Refer to "Moody's Corporation Reports Results for Third Quarter 2012" press release for a full review of guidance

# MA 2012 Full-Year Revenue Outlook

| | |
|---|---|
| » Global | ↑ high-teens % range |
| » U.S. | ↑ high-teens to 20% range |
| » Non-U.S. | ↑ high-teens % range |
| » Research, Data & Analytics | ↑ high-single-digit % range |
| » Enterprise Risk Solutions | ↑ low 20's % range |
| » Professional Services | ↑ approximately 70% |

Refer to "Moody's Corporation Reports Results for Third Quarter 2012" press release for a full review of guidance

# 5. Q&A Session

- Raymond McDaniel

  President and Chief Executive Officer, Moody's Corporation

- Linda Huber

  Executive Vice President and Chief Financial Officer, Moody's Corporation

- Michel Madelain

  President and Chief Operating Officer, Moody's Investors Service

- Mark Almeida

  President, Moody's Analytics

# Replay Details

» Available from 3:30pm (Eastern Time) October 26, 2012 until 11:59pm (Eastern Time) November 24, 2012

» Telephone Details:

– U.S. 1-888-203-1112

– Non-U.S. +1-719-457-0820

– Passcode 2248066

» Webcast Details:

– Go to http://ir.moodys.com

– Click on "Events & Presentations" featured on the left

– Click on the link for "Q3 2012 Earnings Conference Call"

# Appendix

# Consolidated Statements of Operations (Unaudited)

| Amounts in millions, except per share amounts | Three Months Ended September 30, 2012 | Three Months Ended September 30, 2011 | Nine Months Ended September 30, 2012 | Nine Months Ended September 30, 2011 |
|---|---|---|---|---|
| **Revenue** | **$ 688.5** | **$ 531.3** | **$ 1,976.1** | **$ 1,713.6** |
| **Expenses:** | | | | |
| Operating | 207.3 | 171.0 | 573.4 | 502.3 |
| Selling, general and administrative | 187.4 | 145.0 | 515.8 | 436.4 |
| Restructuring | - | 0.2 | - | 0.1 |
| Depreciation and amortization | 24.1 | 19.0 | 69.7 | 58.5 |
| **Total expenses** | **418.8** | **335.2** | **1,158.9** | **997.3** |
| **Operating income** | **269.7** | **196.1** | **817.2** | **716.3** |
| **Non-operating (expense) income, net** | | | | |
| Interest (expense) income, net | (15.3) | (12.9) | (42.2) | (45.2) |
| Other non-operating (expense) income, net | 10.0 | 1.6 | 12.6 | 13.1 |
| Total non-operating (expense) income, net | (5.3) | (11.3) | (29.6) | (32.1) |
| **Income before provision for income taxes** | **264.4** | **184.8** | **787.6** | **684.2** |
| Provision for income taxes | 77.9 | 52.7 | 249.9 | 204.3 |
| Net income | 186.5 | 132.1 | 537.7 | 479.9 |
| Less: net income attributable to noncontrolling interests | 2.6 | 1.4 | 7.8 | 4.7 |
| **Net income attributable to Moody's Corporation** | **$ 183.9** | **$ 130.7** | **$ 529.9** | **$ 475.2** |
| | | | | |
| **Earnings per share attributable to Moody's common shareholders** | | | | |
| Basic | $ 0.83 | $ 0.58 | $ 2.37 | $ 2.09 |
| Diluted | $ 0.81 | $ 0.57 | $ 2.34 | $ 2.06 |
| **Weighted average number of shares outstanding** | | | | |
| Basic | 222.5 | 226.0 | 223.3 | 227.7 |
| Diluted | 226.1 | 229.0 | 226.7 | 230.7 |

# Supplemental Revenue Information
# (Unaudited)

| *Amounts in millions* | Three Months Ended September 30, 2012 | Three Months Ended September 30, 2011 | Nine Months Ended September 30, 2012 | Nine Months Ended September 30, 2011 |
|---|---|---|---|---|
| **Moody's Investors Service** | | | | |
| Corporate Finance | $ 220.7 | $ 129.0 | $ 612.7 | $ 510.9 |
| Structured Finance | 93.1 | 82.0 | 278.1 | 257.7 |
| Financial Institutions | 82.7 | 72.1 | 239.3 | 228.1 |
| Public, Project and Infrastructure Finance | 77.0 | 68.3 | 237.3 | 205.3 |
| Intersegment royalty | 17.8 | 16.8 | 52.4 | 49.0 |
| Sub-total MIS | 491.3 | 368.2 | 1,419.8 | 1,251.0 |
| Eliminations | (17.8) | (16.8) | (52.4) | (49.0) |
| Total MIS revenue | 473.5 | 351.4 | 1,367.4 | 1,202.0 |
| **Moody's Analytics** | | | | |
| Research, Data and Analytics | 123.8 | 115.3 | 364.7 | 335.9 |
| Enterprise Risk Solutions | 64.0 | 50.8 | 163.6 | 135.7 |
| Professional Services | 27.2 | 13.8 | 80.4 | 40.0 |
| Intersegment revenue | 3.1 | 2.6 | 9.0 | 7.8 |
| Sub-total MA | 218.1 | 182.5 | 617.7 | 519.4 |
| Eliminations | (3.1) | (2.6) | (9.0) | (7.8) |
| Total MA revenue | 215.0 | 179.9 | 608.7 | 511.6 |
| **Total Moody's Corporation revenue** | **$ 688.5** | **$ 531.3** | **$ 1,976.1** | **$ 1,713.6** |
| **Moody's Corporation revenue by geographic area** | | | | |
| United States | $ 375.4 | $ 274.3 | $ 1,063.2 | $ 890.7 |
| International | 313.1 | 257.0 | 912.9 | 822.9 |
| | **$ 688.5** | **$ 531.3** | **$ 1,976.1** | **$ 1,713.6** |

# Non-Operating (Expense) Income, Net

| *Amounts in millions* | Three Months Ended September 30, 2012 | Three Months Ended September 30, 2011 | Nine Months Ended September 30, 2012 | Nine Months Ended September 30, 2011 |
|---|---|---|---|---|
| **Interest (expense) / income, net:** | | | | |
| Expense on borrowings | **$ (19.3)** | $ (16.2) | **$ (52.1)** | $ (48.9) |
| Income | **1.2** | 1.6 | **3.7** | 3.9 |
| Legacy Tax, UTPs and other tax related liabilities [(a)] | **2.7** | 0.9 | **6.2** | (2.4) |
| Capitalized | **0.1** | 0.8 | **-** | 2.2 |
| **Total interest (expense) income, net** | **$ (15.3)** | $ (12.9) | **$ (42.2)** | $ (45.2) |
| **Other non-operating (expense) income, net:** | | | | |
| FX gain/(loss) | **$ (4.9)** | $ 0.5 | **$ (6.1)** | $ 3.3 |
| Legacy Tax [(b)] | **12.8** | - | **12.8** | 6.4 |
| Joint venture income | **2.3** | 1.4 | **6.9** | 5.3 |
| Other | **(0.2)** | (0.3) | **(1.0)** | (1.9) |
| **Other non-operating (expense) income, net** | **10.0** | 1.6 | **12.6** | 13.1 |
| **Total non-operating (expense) income, net** | **$ (5.3)** | $ (11.3) | **$ (29.6)** | $ (32.1) |

(a) The three and nine months ended September 30, 2012 as well as the nine months ended September 30, 2011 all contain approximately $4 million in benefits from Legacy Tax Matters. Additionally, the amount for the nine months ended September 30, 2012 contains a benefit of approximately $7 million related to the settlement of state and local income tax audits

(b) The amounts represent favorable resolutions of Legacy Tax Matters

# Selected Consolidated Balance Sheet Data (Unaudited)

| *Amounts in millions* | September 30, 2012 | December 31, 2011 |
|---|---|---|
| Cash and cash equivalents | $ 1,518.5 | $ 760.0 |
| Short-term investments | 22.7 | 14.8 |
| Total current assets | 2,205.8 | 1,424.4 |
| Non-current assets | 1,456.5 | 1,451.7 |
| Total assets | 3,662.3 | 2,876.1 |
| Total current liabilities | 982.9 | 1,134.0 |
| Total debt [1] | 1,707.5 | 1,243.8 |
| Other long-term liabilities | 676.2 | 667.5 |
| Total shareholders' equity(deficit) | 322.1 | (158.4) |
| Redeemable noncontrolling interest* | 69.2 | 60.5 |
| Total liabilities, redeemable noncontrolling interest and shareholders' equity(deficit) | 3,662.3 | 2,876.1 |
| | | |
| Actual number of shares outstanding | 222.9 | 222.4 |

* Represents a noncontrolling interest related to the November 2011 acquisition of Copal Partners

| [1] Total debt consists of the following: | September 30, 2012 | December 31, 2011 |
|---|---|---|
| Series 2005-1 Notes due 2015 [a] | $ 318.4 | $ 311.5 |
| Series 2007-1 Notes due 2017 | 300.0 | 300.0 |
| 2008 Term Loan due 2013 [b] | 95.6 | 135.0 |
| 2010 Senior Notes due 2020 [c] | 497.4 | 497.3 |
| 2012 Senior Notes due 2022 [d] | 496.1 | - |
| Total debt [e] | $ 1,707.5 | $ 1,243.8 |

[a] Includes an $18.4 million and $11.5 million fair value adjustment on an interest rate hedge at September 30, 2012 and December 31, 2011, respectively

[b] Various payments through 2013

[c] Represents $500 million of 5.5% publicly traded Senior Notes which mature on September 1, 2020; the notes were offered to the public at 99.374% of the face amount

[d] Represents $500 million of 4.5% publicly traded Senior Notes which mature on September 1, 2022; the notes were offered to the public at 99.218% of the face amount

[e] Of the total debt shown in the table above, $95.6 million and $71.3 million are classified within total current liabilities at September 30, 2012 and December 31, 2011, respectively, and consist of the current portion of borrowings under the 2008 Term Loan

# Financial Information by Segment

| | Three Months Ended September 30, | | | | | | | |
|---|---|---|---|---|---|---|---|---|
| | 2012 | | | | 2011 | | | |
| | MIS | MA | Eliminations | Consolidated | MIS | MA | Eliminations | Consolidated |
| Revenue | $ 491.3 | $ 218.1 | $ (20.9) | $ 688.5 | $ 368.2 | $ 182.5 | $ (19.4) | $ 531.3 |
| Operating, selling, general and administrative | 252.4 | 163.2 | (20.9) | 394.7 | 200.5 | 134.9 | (19.4) | 316.0 |
| Adjusted operating income | 238.9 | 54.9 | - | 293.8 | 167.7 | 47.6 | - | 215.3 |
| Depreciation and amortization | 11.0 | 13.1 | - | 24.1 | 9.9 | 9.1 | - | 19.0 |
| Restructuring | - | - | - | - | 0.2 | - | - | 0.2 |
| Operating income | $ 227.9 | $ 41.8 | $ - | $ 269.7 | $ 157.6 | $ 38.5 | $ - | $ 196.1 |
| Adjusted operating margin | 48.6% | 25.2% | | 42.7% | 45.5% | 26.1% | | 40.5% |
| Operating margin | 46.4% | 19.2% | | 39.2% | 42.8% | 21.1% | | 36.9% |

| | Nine Months Ended September 30, | | | | | | | |
|---|---|---|---|---|---|---|---|---|
| | 2012 | | | | 2011 | | | |
| | MIS | MA | Eliminations | Consolidated | MIS | MA | Eliminations | Consolidated |
| Revenue | $ 1,419.8 | $ 617.7 | $ (61.4) | $ 1,976.1 | $ 1,251.0 | $ 519.4 | $ (56.8) | $ 1,713.6 |
| Operating, selling, general and administrative | 684.0 | 466.6 | (61.4) | 1,089.2 | 606.1 | 389.4 | (56.8) | 938.7 |
| Adjusted operating income | 735.8 | 151.1 | - | 886.9 | 644.9 | 130.0 | - | 774.9 |
| Depreciation and amortization | 32.9 | 36.8 | - | 69.7 | 31.0 | 27.5 | - | 58.5 |
| Restructuring | - | - | - | - | 0.1 | - | - | 0.1 |
| Operating income | $ 702.9 | $ 114.3 | $ - | $ 817.2 | $ 613.8 | $ 102.5 | $ - | $ 716.3 |
| Adjusted operating margin | 51.8% | 24.5% | | 44.9% | 51.6% | 25.0% | | 45.2% |
| Operating margin | 49.5% | 18.5% | | 41.4% | 49.1% | 19.7% | | 41.8% |

Refer to “Moody’s Corporation Reports Results for Third Quarter 2012” press release for table details

# Transaction and Relationship Revenue

| | Three Months Ended September 30, | | | | | |
|---|---|---|---|---|---|---|
| | 2012 | | | 2011 | | |
| | Transaction | Relationship | Total | Transaction | Relationship | Total |
| Corporate Finance | 75% | 25% | 100% | 62% | 38% | 100% |
| Structured Finance | 58% | 42% | 100% | 49% | 51% | 100% |
| Financial Institutions | 37% | 63% | 100% | 30% | 70% | 100% |
| Public, Project and Infrastructure Finance | 59% | 41% | 100% | 58% | 42% | 100% |
| **Total MIS** | **62%** | **38%** | **100%** | **52%** | **48%** | **100%** |
| **Moody's Analytics** | **22%** | **78%** | **100%** | **19%** | **81%** | **100%** |
| **Total Moody's Corporation** | **50%** | **50%** | **100%** | **41%** | **59%** | **100%** |

| | Nine Months Ended September 30, | | | | | |
|---|---|---|---|---|---|---|
| | 2012 | | | 2011 | | |
| | Transaction | Relationship | Total | Transaction | Relationship | Total |
| Corporate Finance | 73% | 27% | 100% | 72% | 28% | 100% |
| Structured Finance | 57% | 43% | 100% | 52% | 48% | 100% |
| Financial Institutions | 37% | 63% | 100% | 37% | 63% | 100% |
| Public, Project and Infrastructure Finance | 61% | 39% | 100% | 57% | 43% | 100% |
| **Total MIS** | **61%** | **39%** | **100%** | **59%** | **41%** | **100%** |
| **Moody's Analytics** | **21%** | **79%** | **100%** | **18%** | **82%** | **100%** |
| **Total Moody's Corporation** | **49%** | **51%** | **100%** | **46%** | **54%** | **100%** |

Refer to “Moody’s Corporation Reports Results for Third Quarter 2012” press release for table details

# Non-GAAP Financial Measures

| | Three Months Ended September 30, | |
|---|---|---|
| | 2012 | 2011 |
| **Diluted earnings per share attributable to Moody's common shareholders** | $ 0.81 | $ 0.57 |
| Legacy Tax | $ (0.06) | $ - |
| **Pro forma diluted earnings per share attributable to Moody's common shareholders** | $ 0.75 | $ 0.57 |

| | Nine Months Ended September 30, | |
|---|---|---|
| | 2012 | 2011 |
| **Diluted earnings per share attributable to Moody's common shareholders** | $ 2.34 | $ 2.06 |
| Legacy Tax | $ (0.06) | $ (0.03) |
| **Pro forma diluted earnings per share attributable to Moody's common shareholders** | $ 2.28 | $ 2.03 |

| | Full-Year Ended December 31, |
|---|---|
| | 2012 |
| **Diluted EPS guidance - GAAP** | $ 2.95 - 3.05 |
| Legacy Tax | $ (0.06) |
| **Diluted EPS guidance - Pro forma** | $ 2.89 - 2.99 |

Refer to “Moody’s Corporation Reports Results for Third Quarter 2012” press release for table details

# Adjusted Operating Income and Adjusted Operating Margin

| | Three Months Ended September 30, | | | | Nine Months Ended September 30, | | | |
|---|---|---|---|---|---|---|---|---|
| | 2012 | | 2011 | | 2012 | | 2011 | |
| **Operating income** | $ | **269.7** | $ | 196.1 | $ | **817.2** | $ | 716.3 |
| Depreciation & amortization | | **24.1** | | 19.0 | | **69.7** | | 58.5 |
| Restructuring | | **-** | | 0.2 | | **-** | | 0.1 |
| **Adjusted operating income** | $ | **293.8** | $ | 215.3 | $ | **886.9** | $ | 774.9 |
| **Operating margin** | | **39.2%** | | 36.9% | | **41.4%** | | 41.8% |
| **Adjusted operating margin** | | **42.7%** | | 40.5% | | **44.9%** | | 45.2% |

Refer to “Moody’s Corporation Reports Results for Third Quarter 2012” press release for table details

# Free Cash Flow

| | Nine Months Ended September 30, | | | |
|---|---|---|---|---|
| | | 2012 | | 2011 |
| **Net cash flows from operating activities** | $ | **496.0** | $ | 666.3 |
| Capital additions | | **(35.2)** | | (53.6) |
| **Free cash flow** | $ | **460.8** | $ | 612.7 |
| **Net cash used in investing activities** | $ | **(46.1)** | $ | (65.3) |
| **Net cash provided by (used in) financing activities** | $ | **294.4** | $ | (392.4) |

Refer to "Moody's Corporation Reports Results for Third Quarter 2012" press release for table details

Moody's

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